

Economics

**General
Instructions**

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- NESA approved calculators may be used

**Total marks:
100**

Section I – 20 marks (pages 2–8)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

Section II – 40 marks (pages 9–20)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks (pages 21–22)

- Attempt either Question 25 or Question 26
- Allow about 35 minutes for this section

Section IV – 20 marks (page 23)

- Attempt either Question 27 or Question 28
- Allow about 35 minutes for this section

Section I

20 marks

Attempt Questions 1–20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1–20.

- 1** Which of the following is most likely to be of benefit to transnational corporations?

 - A. Increased trade barriers
 - B. Variations in regional business cycles
 - C. Restrictions on international financial flows
 - D. Migration laws that encourage international labour mobility

- 2** In theory, which of the following best describes the characteristics of a public good?

 - A. Excludable and rival
 - B. Excludable and non-rival
 - C. Non-excludable and rival
 - D. Non-excludable and non-rival

- 3** Which statement about the time lags associated with government policies is most correct?

 - A. Fiscal policy has a longer implementation lag than monetary policy.
 - B. Microeconomic policies have a shorter impact lag than fiscal policy.
 - C. Monetary policy has a longer impact lag than microeconomic policies.
 - D. Microeconomic policies have a shorter implementation lag than monetary policy.

- 4** An economy is experiencing high unemployment and an inflation rate below the central bank's target rate.

Which macroeconomic policy mix is best for this economy?

 - A. Expansionary fiscal and monetary policy
 - B. Contractionary fiscal and monetary policy
 - C. Expansionary fiscal and contractionary monetary policy
 - D. Contractionary fiscal and expansionary monetary policy

- 5 Other things being equal, Australia's international competitiveness would be improved by an increase in which of the following?
- A. Australian inflation
 - B. Aggregate supply in Australia
 - C. Australian government spending
 - D. The value of the Australian dollar
- 6 Which of the following is most likely to be included in a market-based policy for the management of air pollution?
- A. Fines for firms that pollute
 - B. Firms buying and selling pollution permits
 - C. Domestic regulation that forces firms to meet certain emission targets
 - D. An international treaty that specifies emission targets and is legally enforceable
- 7 Which of the following would most likely be driven by fluctuations in the business cycle?
- A. An increase in the GST rate
 - B. An increase in the tax free threshold
 - C. A decrease in company taxation receipts
 - D. A decrease in the top marginal income tax rate
- 8 Which of the following is most likely to occur if the Australian government finances a budget deficit by borrowing funds in the domestic money market?
- A. Upward pressure on interest rates
 - B. Increased domestic money supply
 - C. Depreciation of the Australian dollar
 - D. A rise in the Australian government's share of foreign debt

- 9** A government decides to reduce the import quota for a product.

Other things being equal, which of the following is most likely to occur in the domestic market?

- A. The revenue of foreign producers will increase.
 - B. The domestic price of the product will increase.
 - C. Domestic firms will produce less of the product.
 - D. The market share of foreign producers will increase.
- 10** Which of the following is the minimum requirement in order for an adult worker in Australia to receive the National Minimum Wage?
- A. They are legally employed.
 - B. They are a member of a trade union.
 - C. They are covered by an industrial award.
 - D. They are covered by an enterprise agreement.
- 11** Which of the following must have happened if there has been a movement in Australia's Terms of Trade from 115 to 105?
- A. The value of Australia's imports increased relative to the value of Australia's exports.
 - B. The value of Australia's imports decreased relative to the value of Australia's exports.
 - C. The price of Australia's imports increased relative to the price of Australia's exports.
 - D. The price of Australia's exports increased due to an appreciation in the Australian dollar.

- 12** Which of the following correctly ranks, from largest to smallest, the sources of income as a percentage of Australian household income?
- A. Returns to labour, returns to enterprise, returns to land and capital, transfer payments
 - B. Returns to labour, transfer payments, returns to land and capital, returns to enterprise
 - C. Returns to labour, transfer payments, returns to enterprise, returns to land and capital
 - D. Returns to labour, returns to enterprise, transfer payments, returns to land and capital
- 13** There is a downturn in the economy of a major importer of Australian goods and services.

Which of the following is most likely to occur?

- A. A depreciation of the Australian dollar
 - B. An appreciation of the Australian dollar
 - C. A revaluation of the importer's currency
 - D. A devaluation of the importer's currency
- 14** The table shows hypothetical data for an economy.

G	M	T	I	X	S
25	60	30	20	70	35

Which statement about this economy is correct?

- A. It is expanding because exports are greater than imports.
- B. It is contracting because savings are greater than taxation.
- C. It is expanding because injections are greater than leakages.
- D. It is contracting because leakages are greater than injections.

- 15 The table shows employment data for a hypothetical economy.

<i>Year</i>	<i>Population</i> (millions)	<i>Working age</i> <i>population</i> (millions)	<i>Number</i> <i>employed</i> (millions)	<i>Number</i> <i>unemployed</i> (millions)
1	10	5	2	1
2	20	8	3	2
3	30	16	7	3
4	40	20	9	6

In which year is the unemployment rate 40% and the participation rate 62.5%?

- A. 1
 - B. 2
 - C. 3
 - D. 4
- 16 The table shows consumer price index (CPI) data for a hypothetical economy.

<i>Year</i>	<i>CPI</i>
1	100
2	105
3	110

What happens to the prices of goods and services from Year 1 to Year 3?

- A. They remain unchanged.
- B. They increase at a constant rate.
- C. They increase at a decreasing rate.
- D. They increase at an increasing rate.

- 17 The table shows hypothetical balance of payments data for a country.

	<i>Year 1</i> (billions)	<i>Year 2</i> (billions)
Exports of goods	\$100	\$60
Imports of goods	\$110	\$70
Net services	–\$20	–\$30
Net primary income	–\$80	–\$85
Net secondary income	\$10	–\$5
Capital account	\$20	\$30
Financial account	\$75	\$90

Assuming a floating exchange rate, which of the following statements is true?

- A. The balance of goods and services remains constant.
 - B. The current account deficit decreases from Year 1 to Year 2.
 - C. The net errors and omissions are larger in Year 2 than in Year 1.
 - D. The capital and financial account surplus decreases from Year 1 to Year 2.
- 18 It can be argued that a book in a public library is NOT a public good.
- Which of the following explanations best supports this argument?
- A. People can borrow a different book.
 - B. Only one person can read the book at a time.
 - C. Anyone can become a member of the library and borrow the book.
 - D. The contents of the book do not change regardless of the number of times it has been read.

- 19** The table shows data for National Income (Y) and Consumption (C) for a hypothetical economy.

<i>Year</i>	<i>Y</i>	<i>C</i>
1	0	100
2	1000	Z
3	X	1300

If the value of the multiplier is 2.5, which row in the following table shows the missing values for X and Z ?

	X	Z
A.	1200	250
B.	1200	1100
C.	2000	600
D.	2000	700

- 20** In 2019, one US dollar buys 1.25 Australian dollars. In 2020, one Australian dollar buys 0.75 US dollars.

Which statement is most correct?

- A. There is no change in the exchange rate between 2019 and 2020.
- B. Australian exports to the US are less expensive in 2020 compared to 2019.
- C. Goods imported from the US are more expensive in 2019 compared to 2020.
- D. For US investors, Australian assets are more expensive to buy in 2020 compared to 2019.

2017

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EXAMINATION

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Centre Number

Economics

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Student Number

Section II Answer Booklet

40 marks

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

Instructions

- Write your Centre Number and Student Number at the top of this page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- Extra writing space is provided at the back of this booklet. If you use this space, clearly indicate which question you are answering.

Please turn over

Question 21 (10 marks)

- (a) Why can dumping be used as a justification for trade protection?

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- (b) Explain the difference between *subsidies* and *local content rules* in discouraging dumping.

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Question 21 continues on page 11

Question 21 (continued)

- (c) Compare and contrast the roles of the International Monetary Fund (IMF) and the World Bank in international economic integration.

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End of Question 21

Question 22 (10 marks)

- (a) A large agricultural property in Australia is sold to a foreign investor. 2

Outline how this transaction can affect TWO components of Australia's balance of payments.

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- (b) Distinguish between *direct investment* and *portfolio investment*. 2

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Question 22 continues on page 13

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Question 22 (continued)

- (c) Discuss the costs and benefits for Australia of foreign direct investment.

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End of Question 22

Question 23 (10 marks)

- (a) Distinguish between *income* and *wealth*.

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- (b) Explain TWO ways in which taxation can be used to change the Gini coefficient from 0.5 to 0.2.

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Question 23 continues on page 15

Question 23 (continued)

- (c) Explain how age and gender affect wealth inequality in Australia.

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End of Question 23

Question 24 (10 marks)

- (a) Identify ONE type of unemployment that is present at full employment and ONE type of unemployment that is not. 2

Present at full employment:

Not present at full employment:

- (b) Explain how unemployment affects economic growth in an economy. 4

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Question 24 continues on page 17

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Question 24 (continued)

- (c) Contrast the use of fiscal policy for an economy at the non-accelerating inflation rate of unemployment (NAIRU) with its use when the economy is above the NAIRU.

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End of Question 24

Section II extra writing space

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Section II extra writing space

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Handwriting practice lines for Section II extra writing space.

Section II extra writing space

If you use this space, clearly indicate which question you are answering.

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Economics

Section III

20 marks

Attempt either Question 25 or Question 26

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

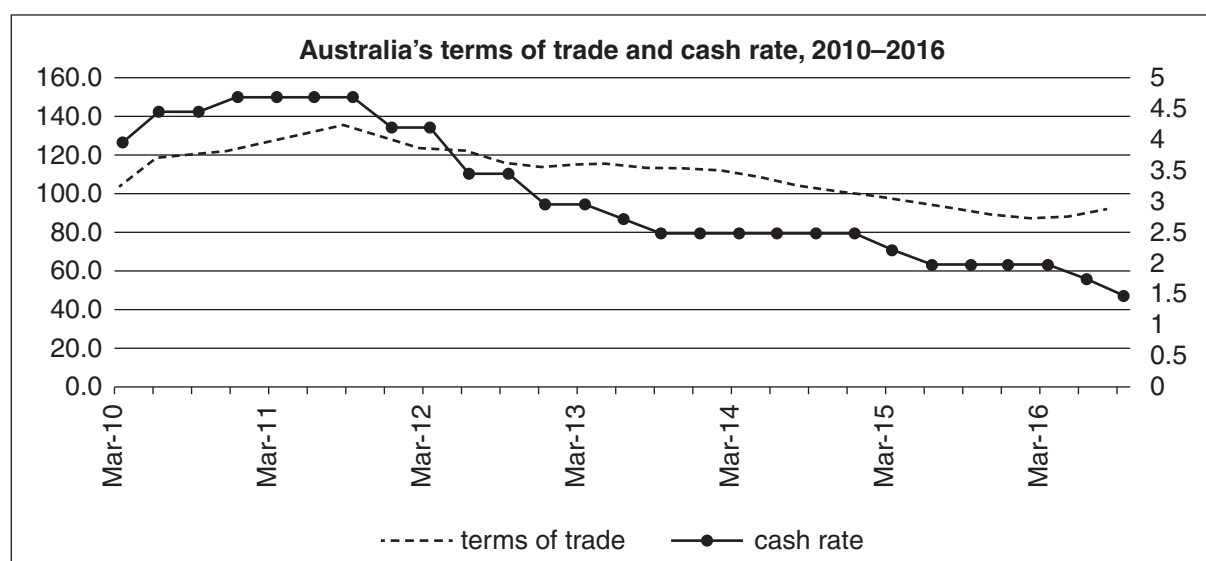
- demonstrate knowledge and understanding relevant to the question
- use the information provided
- apply relevant economic terms, concepts, relationships and theory
- present a sustained, logical and cohesive response

Question 25 (20 marks)

Analyse the implications of a decline in global economic activity for Australia's economic policies. In your response, refer to the economic information provided.

A flexible exchange rate helps soften the impact of external shocks on an economy, such that monetary and fiscal policy can be directed towards achieving domestic economic policy objectives.

Adapted from *The Exchange Rate and the Reserve Bank's Role in the Foreign Exchange Market*, February 2017
© Reserve Bank of Australia



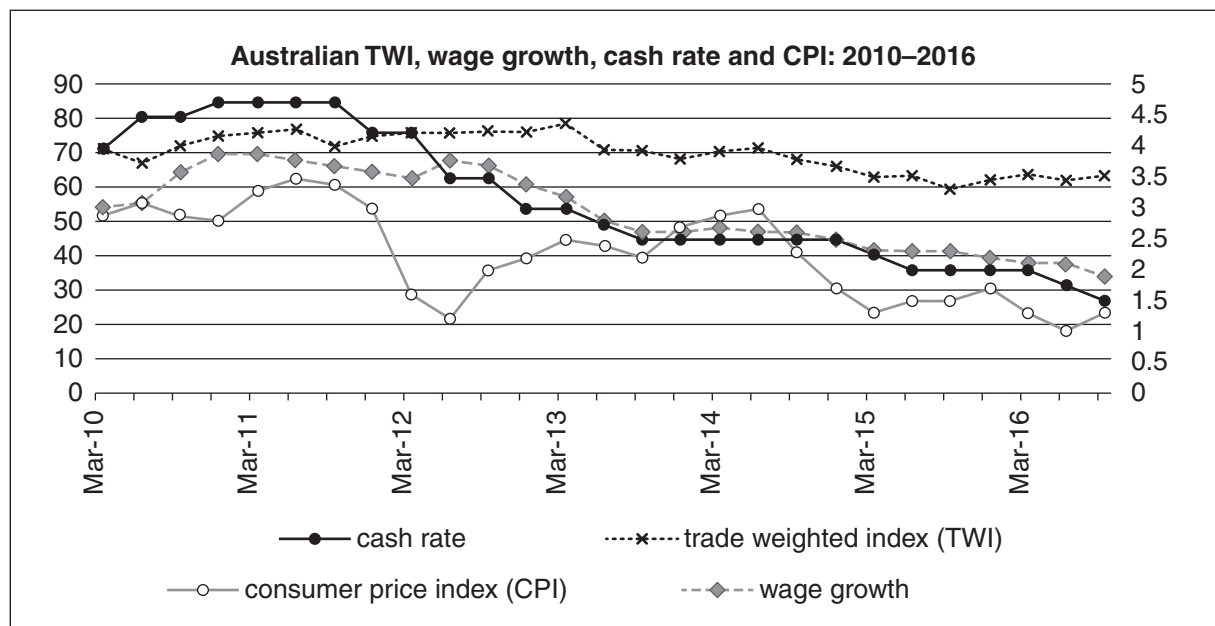
OR

Question 26 (20 marks)

Analyse the role that the Australian government's economic policies play in achieving price stability in Australia. In your response, refer to the economic information provided.

Despite depreciation of the Australian dollar, inflation has declined due to a range of factors including heightened retail competition, moderation in conditions in housing markets and declines in the costs of business inputs such as fuel and utilities.

Adapted from the Minutes of the Monetary Policy Meeting
of the Reserve Bank Board, 3 May 2016
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Section IV

20 marks

Attempt either Question 27 or Question 28

Allow about 35 minutes for this section

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant economic information, terms, concepts, relationships and theory
 - present a sustained, logical and cohesive response
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Question 27 (20 marks)

With reference to BOTH Australia AND one other economy, compare and contrast the effects of globalisation on economic growth and environmental sustainability.

OR

Question 28 (20 marks)

Explain how labour market policies can be used to achieve Australia's economic objectives.

End of paper

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